

Palantir Technologies Inc.

PLTR NYSE

Hold	\$172.55 ▼ 0.86%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$414.65B
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PLTR: Pentagon AI Tailwind Intact, But Valuation Getting Stretched

WHAT HAPPENED

- PLTR is down about 0.9% pre-market, but the bigger story is the tone shift in the headlines. Barron's is running "The AI Trade Had 1 Sure Bet. Now Even That's Gone" — that's the market starting to question whether the AI leaders (PLTR being the poster child) can keep justifying these prices. When Barron's writes that headline, institutional PMs read it.
- Simply Wall St. is still calling PLTR ~9% undervalued on Pentagon AI momentum, and options flow is bullish (put/call 0.73, meaning way more people buying upside calls than downside protection). So the tape is mixed: momentum crowd still leaning in, valuation crowd getting nervous.

WHY IT MATTERS

Here's what today is really telling us: PLTR has become a sentiment barometer for the entire AI trade, which cuts both ways. The stock is sitting at 65% of its 52-week range with a \$415B market cap on roughly \$5B of revenue — that's investors paying about \$85 for every \$1 of sales, versus maybe \$15-20 for most software peers. The Pentagon AI narrative is real and the Trump administration's defense AI push (Golden Dome, autonomous systems, Replicator initiative) is a direct tailwind, but the stock is now priced as if every one of those contracts is already signed. What to watch: if the broader market starts rotating out of expensive AI names into cyclical or value, PLTR gets hit disproportionately because it has the least valuation cushion of any large-cap AI name.

POLICY & POLITICAL WATCH

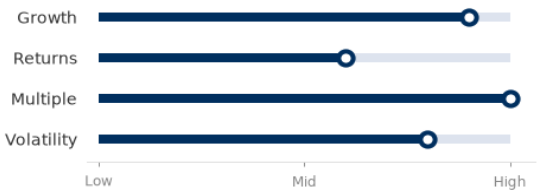
The FY2027 defense authorization is the big one — the House Armed Services Committee has been pushing to expand the software modernization budget (the pot of money PLTR's Maven and TITAN contracts get paid from), and the administration's push for AI-enabled command-and-control is essentially a Palantir job description. Also watch the OMB's ongoing effort to consolidate federal AI procurement onto a smaller list of approved vendors — PLTR is almost certainly on that list, which would be a moat (a barrier that keeps competitors out). Headwind risk: any Congressional appetite for defense spending cuts in a debt-ceiling fight would hit PLTR faster than diversified defense primes like LMT or RTX because Palantir is more concentrated in the "new spending" bucket rather than legacy programs.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$172.55
12M Price Target	\$185.00
Upside / (Downside)	+7.2%
Market Cap	\$414.65B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	278.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$190.00	\$175.00	\$155.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$195.00	\$125.00
2 Years	\$320.00	\$230.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$450.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defense tech and AI infrastructure — the administration's defense priorities (autonomous systems, missile defense, border tech) are direct tailwinds. Cybersecurity is also catching a bid on the back of federal mandates.

COOLING OFF: Legacy enterprise software (think older SaaS names) is losing share of wallet to AI-native platforms. Also watch for softness in consumer-facing tech as tariffs bite.

ROTATION WATCH: Money has been rotating from mega-cap AI (NVDA, MSFT) into second-derivative AI plays — power, cooling, defense AI. PLTR benefits from that rotation, which is partly why it's held up so well.

RELATED PLAY: If you like the government AI thesis but don't want to pay 85x sales, look at the defense primes with growing software businesses (LMT, RTX) or the pure-play defense tech names (AVAV, KTOS) that ride the same budget wave at cheaper multiples.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): Winning on AI data center networking buildout — direct beneficiary of hyperscaler capex.
- AVAV (AeroVironment): Drone and autonomous systems demand exploding on the back of Ukraine lessons and DoD Replicator program.

PLTR CONTEXT: PLTR has been a leader in this cohort, but it's now the most expensive name in the group. When you're the most expensive stock in a hot sector, you outperform on the way up and underperform on the way down. The fact that it's lagging slightly today while the sector story is intact is a small yellow flag — could be early rotation out of the crowded trade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$150-160 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Two consecutive quarters of decelerating government revenue growth, or a major DoD contract loss

Hedging: Pair with a short on a richly-valued smaller AI competitor, or buy protective puts 10-15% below spot